TAM CAPITAL

Liquidity Risk Management Policy V.1

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LIQUIDITY RISK MANAGEMENT POLICY

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LIQUIDITY RISK MANAGEMENT POLICY

OBJECTIVE:

The objective of the Liquidity Risk Management Policy is to secure a balanced financing structure for the development of TAM CAPITAL business activities and ensuring that it is sufficiently robust to cope with the liquidity crisis situations. This policy aims to establish the basic foundations associated with the liquidity risk management process in accordance with regulatory requirement.

ABBREVIATIONS USED :

CODES	FULL FORMS
CEO	Chief Executive Officer
MIS	Management Information System
HQLA	High Quality Liquid Asset
RULES	Prudential Rules
CMA	Capital Market Authority of Saudi Arabia
ENTITY	TAM CAPITAL or its funds, wherever relevant or related concern for mana in its li uidit risk

SOURCES OF FUND and CURRENT SITUATION:

TAM CAPITAL is a body corporate and active into the businesses of investments (private equity, RIETS, DPM ie customer portfolios), underwriting, arranging,. TAM CAPITAL currently do not have any borrowing and do not have any lines of credit. It funds its business requirements through equity and internal accruals only.

Currently, the company identifies the liquidity risk on an on-going basis. To mitigate these risks, the company, maintain enough cash to pay all projected operating costs for a period of 12 months. In respect of investing in long-term projects, TAM invests in its own products like equity funds, REITS funds apart from local equities, international funds. All investments are managed through the investment committee and regular reporting on perforrnance and risks are made by the respective Head of Departments on the use of the Company's capital.

LIQUIDITY RISK MANAGEMENT POLICY

REGULATORY FRAMEWORK:

The Capital Market Authority of Saudi Arabia (CMA) is the financial regulatory authority responsible for regulating capital markets related activities in Saudi Arabia. The CMA is a government organization having full financial, legal, and administrative independence, and has direct links with the Prime Minister. Its responsibilities include setting and policing financial rules and regulations and developing the capital markets, this includes regulating the Tadawul, Saudi Arabia's stock exchange.

CMA has issued Prudential Rules relating to requirements which concerned entity has to comply for achieving financial prudence. Prudential Rules lay down various requirements for conducting a business of dealing, managing, custody, arranging, advising, investments etc. The requirement varies from capital adequacy to various procedural guidelines to manage various risks associated with the businesses and disclosure requirements.

In Prudential Rules, Part 5 (chapters 18 and 19) deals with Minimum Liquidity Requirements. It contains requirements in Articles 57 to 65 of chapters 18 and 19. Article 57 and 59 also provides a reference to comply with Annexure 8 of the Prudential Rules, specifying other guidelines in relation to Liquidity Risk Management. Annexure 10 of the Prudential Rules specifies disclosure requirements in relation to Liquidity Risk Management.

TAM CAPITAL is following procedures and norms under these Articles. Article 58 provides for having a Liquidity Risk Management Policy of the entity and is the regulatory basis for having this policy. Article 60 lays down responsibility of monitoring liquidity risk and managing liquidity, on CEO and it is reported to the Governing Board by the CEO. Article 59 and 61 says about role of Governing Board in approving policies. Article 62 talks about the way entity should manage the liquidity risk and set up tolerance levels. Article 63 talks about awareness and disclosure of this policy to all the staff. Article 64 prescribes the independence, qualification, mandate and responsibility of centralized liquidity risk management department or function. Article 65 talks about internal audit and independent review of functioning of liquidity risk management, whose observations should be directly reported to the Governing Board.

LIQUIDITY RISK MANAGEMENT POLICY

Annexure 8 referred above in Article 57 and 59 provides for various measures and guidance to be used by the entity which may include :

- Risk Tolerance Level
- Cash Flow Analysis considering off balance sheet items, encumbrances etc. including guidance on methods and assumptions for calculating • Use of ratios to show vulnerabilities
- Stress Tests including guidance on assumptions behind these tests and Contingency Plan • Diversification of sources of funds including key drivers to maintain funding capabilities • High Quality Liquid Assets, Liquidity Reserve / Buffer

SCOPE & GOVERNANCE :

The policy is applicable to whole organization. Contents of the policy are required to be informed to all the employees for their knowledge and awareness (Article 63 of Rules). This can be done by suitable emailer / intranet disclosure or time to time awareness program. The primary responsibility of ensuring compliance with the policy lies with the CEO who will inform the compliance status to Governing Board on regular basis, (Article 60 of Rules).
The policy provides guidelines for entity-level Liquidity Risk Tolerance; funding strategies; prudential limits; independence of monitoring function, framework for stress testing; reporting; periodical review of assumptions used in liquidity projection etc.

Liquidity Risk and its Management is highly dynamic and has various variants with experience across the time. Hence, Liquidity Risk Management evolves on its own through the Entity's experiences in executing the policy. The entity may carry out changes in the policy through experiences by taking approval of Governing Board / or suitable Board Committee.
The policy provides for a strong Governance Structure in respect of Liquidity Risk Management. Towards that end, the entity is responsible for ensuring the below:

- Independence of risk and control function. This function shall report to CEO or a member of Governing Body which is not responsible for position taking business units (Article 64 of Rules)
- Independent risk and control function can be placed in parent company as well.

LIQUIDITY RISK MANAGEMENT POLICY

- Approve and review the liquidity risk management policy annually by the Governing Board (Article 61 of Rules). However, the Board may delegate this responsibility to any suitable Board Committee which will brief the Board from time to time o Annual independent internal audit of risk and control function managing liquidity risk, and its observations to be placed before Governing Board (Article 65 Chapter 19 in Part 5 of Rules) o Regular MIS / reporting to the CEO and the Board o Responsibility of Liquidity Risk Management laid down on the CEO (Article 60).

DEFINATIONS:

Liquidity risk

(a) Liquidity Risk is the 'potential for loss' to TAM CAPITAL arising from either its inability to meet its obligations or to fund assets as they fall due without incurring unacceptable cost or losses. Liquidity Risks can be classified as: o Funding liquidity risks: Need to replace net outflows.
o Time risk: Need to compensate for non-receipt of expected inflows, o Call risk: Due to crystallization of contingent liabilities. This may call for further capital or funding

Liquidity Risk is best understood as Funding Liquidity Risk - the risk that the company will not be able to efficiently meet both expected and unexpected current and future cash flow needs without affecting either daily operations or its financial condition.

(b) Liquidity risk can be further defined as the possibility of the fund not being able to meet its expected and unexpected, current and future obligations, including those resulting from binding guarantees, without affecting its daily operations or incurring significant losses, in addition to its inability to get a price on a security in the market, given its sheer size in relation to the average volume traded or due to some discontinuity in the market.

Liquidity risk can further be categorised into two risk types: -

a. Funding liquidity risk : It appears when the entity cannot fulfill its payment obligations because of inability to obtain new funding

b. Market liquidity risk: It appears when the Bank is unable to sell or transform its Liquidity Buffer into cash without significant losses. This relates to saleability of investments.

- **Liquidity risk management**:

Liquidity risk management is defined as the ongoing process of identification, assessment, monitoring, control, mitigation of risks associated with institution independently and for the conglomerate as a whole, considering the possible impacts on the liquidity of that conglomerate arising from the risks associated with other companies controlled by the members of the conglomerate.

- **Liquidity reserves / Liquidity Buffer :**

It is a separate pool of High Quality Liquid Assets (HQLA) that can be used to secure entity's short-term ability to pay for loss or for reduced access to commonly available sources. It shall consist of such assets that liquidity can be created in a short time at predictable values. The liquidity reserve shall consist of assets that are liquid in the markets and allows for financing through central bank. The assets of the liquidity reserve shall not be utilised as collateral and there should not be any barriers to use it for short term financing. The size of the liquidity reserve shall be such that it is possible for the entity to withstand a severe liquidity strain, without having to change its business model. Period-wise, it should provide for atleast 3 months.

LIQUIDITY RISK MANAGEMENT :

Liquidity Risk Management has broadly following basic mitigation principles :

- Investments should mature to meet anticipated cash requirements.
- The portfolio shall include securities with active secondary or resale markets to provide maximum liquidity.

Considering above basic risk management principles, following are further steps and tools the entity will have for effective management of liquidity risk :

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Risk tolerance level:

- According to chapter 19, article 58 of Rules, the entity will have a risk tolerance policy / level based on the explicit quantitative and qualitative approach which is tailored to the objective, strategic direction, and general risk preference. The risk tolerance level will be decided by the Governing Board and reviewed annually, as required by Article 58. The entity will have strategies, policies and instructions set out to manage liquidity risk to keep it within risk tolerance level decided by the Board.

- The Risk Tolerance can be flexible depending upon the nature and complexity of the business of entity. This flexibility is also provided under article 17 Annexure 8 of Rules.

- Tolerance level is a level of Liquidity Risk or Liquidity mismatch which entity can bear without affecting its normal business operations. This is a level fixed by the Governing Board considering financial strength and sources of finances for the entity. Once it is fixed by the Board, it is required that Senior Management maintains its liquidity risks within the tolerance level. It will be monitored by Liquidity Risk Team by regular internal reporting. In case, the actual liquidity risk exceeds tolerance level, though, it is not a crisis, it will be immediately reported to the Governing Board along with the reason why the liquidity risk exceeded.

Tolerance level may be decided on 1 or more of below parameters:

- Mismatch in fund inflow and fund outflow for 0-lday, 1-7 days, 7-30 days or 0-30 days. If there is net deficit, the net deficit should not exceed X% of Net inflow and this is the tolerance level fixed. Example, if X=20%, Net Inflow = 500; then, Net outflow should not be more than 600 during above time buckets. If this happens, the entity should preempt this situation and try to correct it well before the time. While projecting cash flows, off balance sheet items like guarantees / commitments to invest in subsidiaries, possible unforeseen or contingent exposure such as those

- arising from settlement services, provision of sureties, contracted unused credit lines etc. should also be considered.

- On the current ratio of the entity which is Current Asset to Current Liability or Assets maturity within I month divide by liabilities due within 1 month. The tolerance level may be fixed at atleast.

- On debt / Equity Ratio: This provides for long term stability of organisation. The Tolerance Level is fixed depending upon the past experiences and ratio in similar entities within the country.

Ratios — as forward looking and early warning indicator:

The entity may use customised risk measures and ratios to calculate the liquidity risk on a forward-looking perspective and to give early warning indicators. It may be based on balance sheet structure, cash flows, liquidity positions and risks of off-balance sheet items.
A few examples of probable ratios / quantitative indicators are:

o Net Outflow to Net Inflow for each time bucket on cumulative basis o Net

Working Capital or Current Ratio o Cost to Revenue and trend in the same

every quarter / half year o High Quality Liquid Assets (HQLA) to Current

Liabilities o Un-utilised borrowing limits to commitments in underwriting

business o Asset liquidation period considering trading volume of securities /

assets held

Risk ratios or any other quantitative indicator should be able to identify vulnerabilities in normal operations and during periods of stress. Measurement procedures should be appropriate to distinguish between liquidity risks in different currencies. For e.g. if certain assets are held in EURO, its salability in EURO market needs to be considered. The early warning indicators and ratios are evolving and through experience these may be changed for higher suitability.

Cash flow levels:

The entity has decided to draw up cash flow projection on regular basis for liquidity monitoring which is on below time buckets. The cash flow will be worked out on these individual time buckets as well as on cumulative basis from zero days:
I day, 1-7 days, 7-30 days, I month to 3 months, 3-6 months, 6 months to I year, more than I year. Here exact 3 month will fall in I month to 3 month while more than 3 month upto exact 6 months will fall in 3-6 months.
As indicated earlier, ratios and other quantitative techniques can also be used with these cash flow buckets. The above will assure cash flow requirements are met on a day-to-day, cyclical, and long-term basis. All transactions conducted in the financial and capital market, as well as possible unforeseen or contingent exposure such as those arising from settlement services, provision of sureties and guarantees, and contracted unused credit lines will be taken into consideration.
In cash flows, the entity should distinguish between below types of cash flows :

- Contracted cash flows with fixed payment dates
- Cash flows for which the payment dates and the size of payments is controlled by the entity's own decisions, customer behaviour or market trends. In cases where customer behaviour or market trend is the basis of expected cash flows like receivables / payables etc., the calculation shall be based on empirical observations / assumptions.

The above will take care of

- Financial solvency and liquidity risks o Cash management risks

Also, it will ensure that Investments should mature to meet anticipated cash requirements.

In addition, the portfolio level liquid security norm may be introduced if appropriate. For example, x% of portfolio shall include securities with active secondary or resale markets to provide maximum liquidity.

Funding Sources

The entity shall endeavor to have a sufficient degree of diversification of funding sources with regard to the appropriate number and type of counterparties, type of financial instruments, secured and unsecured borrowings, maturities,

currencies and geographic markets. The entity will identify the key factors that affect the ability to raise finance and closely monitor these factors to ensure that the estimated financing ability is still valid under various possible circumstances. For example, key factor may be its own credit rating, financial health, debtleverage or working capital position etc.
While projecting funding sources or cash flow, particular attention will be required to the document, the various legal and operational limitations to freely transfer cash and securities between companies that are part of its financial group.

Oualitative aspect:

Entity will endeavor to provide sufficient qualitative information / observation on the use of ratios and other liquidity risk measures.

Stress Test and Contingency Plan:

Entity will conduct market-wide stress tests based on assumptions about the erosion of market values of certain assets and a general deterioration in the conditions of market financing. Stress Tests are periodic idiosyncratic and systematic stress tests with short term and long-term scenarios, the results of which should be considered when establishing or reviewing policies, strategies, limits and the liquidity contingency plan. The stress assumptions may relate to a few global scenarios like 9/1 1, 2008 crisis, US Tapering etc. and a few local scenarios within the country.

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The entity considers county specific liquidity risk and currencies to which it is exposed to, observing any restrictions on the transfer of liquidity and convertibility of currencies, such as those caused by operational problems or impositions made by a country.

For EURO based investments, EURO related scenario may also be used. The scenario further may relate to fall in overall credit ratings in economy resulting in additional demand of collaterals for open positions, fall in exchange rate, rising interest rate, reduced money supply / bank credits etc. which may show drying down of borrowing power. The scenarios shall be based on varying degrees of stress and duration and cover both the idiosyncratic as well as market related problems. Problems shall be illustrated both individually and in combination with each other. Assumptions should be regularly reviewed.

Stress tests will be conducted by the entity on a regular basis as part of routine risk management processes to identify and measure liquidity risk under different scenarios. This is to make sure that the entity's current exposure to liquidity risk is consistent with the established risk tolerance.
Stress Test results will act as a very important input for making Contingency Plan under section 19 Annexure 8 of Rules. The contingency plan for liquidity crises shall contain clear instructions for how it shall respond to crisis situations involving different time horizons to overcome liquidity shortage. The plan shall outline the measures to deal with various crises and contain definitions for events that trigger the application of any of the various policy options. The contingency plan shall be periodically tested and updated based on results of stress tests.

Liquidity Reserve (HOLA) / Liquidity Buffer

Section 15 Annexure 8 of Rules provides that the entity must keep a separate pool of HQLA that can be used to secure the entity's short-term ability to pay for loss or reduced access to commonly available sources. The assets of the liquidity reserve will not be utilised as collateral and there will be no operational or regulatory barrier to use it for short term financing.
The size of the liquidity reserve shall be such that it is possible for the entity to withstand a severe liquidity strain, without having to change its business model with atleast 3 months' time horizon.

The liquidity reserve shall consist of assets that are liquid in markets. These investments are mainly short-tenn money market investments and accounts deposited in high-rated banks, reverse repos with high-rated, and fixed-income instruments with shorter maturity than three months.
To ensure that the buffer maintains its market value and liquidity under severe market conditions, certain limits may be set if deems fit. For example, a minimum limit for the proportion of High Quality Liquid Assets in the overall corpus.
The entity will calculate the cost of liquidity and take the costs into account in pricing and performance measurement. The cost of liquidity shall reflect the entity's current cost of refinancing.

Collateral management

As required by Section 14 Annexure 8, the entity will distinguish between assets maintained as collaterals against positions / borrowings and other assets. Liquidity buffer / reserve cannot have collaterised assets. The entity should continuously study the situation which may lead to additional collateral requirements due to increased exposure / volatility or deteriorating credit quality.

Intra-day liquidity management

Section 13 Annexure 8 of Rules emphasizes on intraday liquidity. Entity manages their intraday liquidity positions and associated risks so that it can meet payment and settlement obligations in various currencies and in different payment systems. The following are key elements / factors to be considered for Intraday Liquidity Management:

o Liquidity needs over a one-day settlement period o Possibility of Delays in receipt of counterparty cash payments o Possibility of Higher settlement volumes due to an increase in activity.

Liquidity risk indicator:

Section 18 Annexure 8 of Rules provide for entity-specific indicators of liquidity risk and, where possible, market-related indicators that provides early warning of negative trends and increased risk. These may be used and / or inferred from ratios, quantitative factors or stress tests.

DISCLOSURE:

Annexure 10 of the Rules provide that the Entity shall describe in the public information strategy and guidelines for its liquidity risk management, and how the function of liquidity risk management is organised, including the scope and nature of risk reporting and risk measurement systems involved. The entity shall also describe the stress tests conducted and how its contingency plan is designed.

LIQUIDITY RISK MANAGEMENT POLICY

According to above Annexure, Entity shall disclose quantitative information on their liquidity positions, making it possible for market participants to get an idea of its liquidity risk. The entity shall provide information on the size and composition of its liquidity reserves, the size and distribution of funding sources and the values of the various risk measures and ratios. The entity shall provide sufficient qualitative information on the use of ratios and risk measures.

AMENDMENT TO THE POLICY

This policy document will be reviewed and updated at least once every three years or as and when needed.